Circular KYC/2023/01 - Customer Identification Policy

1. Applicability

1.1 This circular applies to all regulated entities onboarding individual customers after 1 April 2023.

2. Identity Verification

2.1 A regulated entity shall verify the identity of every customer using an officially valid document before opening an account.

2.2 Verification must be completed within 30 days of account opening, failing which the account shall be restricted.

2.3 Video based customer identification is permitted only for resident individuals.

2.4 The minimum threshold for enhanced due diligence on cash deposits is Rs. 10,00,000 in a financial year.

3. Record Keeping

3.1 Identification records shall be preserved for five years after the end of the business relationship.

3.2 Records of transactions above the threshold shall be kept in a searchable electronic form.

4. Penalties

4.1 Non-compliance shall attract a penalty of 2% of the outstanding amount per month.

4.2 Repeated violations may be reported to the supervisory authority for further action.